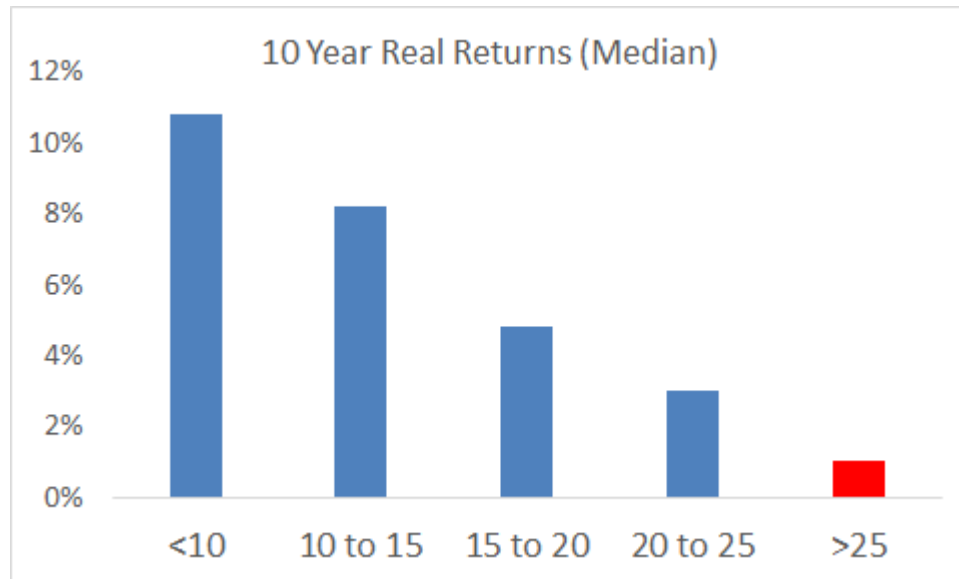


Figure 14 – Ten-Year CAPE Ratio vs. Future Returns, 1900-2014



Source: Shiller

U.S. 10-year government bonds, on the other hand, have proven to be a wonderful place to invest during the past 15 years. The compound return was 6.24% and a nice 3.82% after inflation. The problem here, however, is that these wonderful recent returns come at the expense of future returns as yields have declined from around 6% in 2000 to near all-time low levels in the U.S., currently around 2%.

Future bond returns are fairly easy to forecast – each future bond return is simply the starting yield. Currently, your ten-year nominal return for buying U.S. government bonds will be around 2.25% if held to maturity.

So investors are presented with the following opportunity set of annual returns for the next ten years (assuming 2.25% inflation going forward, rounding to make it simple):

- U.S. Stocks: 3.50% nominal, ~1% real
- U.S. Bonds: 2.25% nominal, ~0% real
- Cash/T-bills: 0.00% nominal, -2% real

That leaves a 60/40 investor with a 2-3% nominal return no matter which way you slice it, or about a 0-1% real return. Not exactly breathtaking! Many investors expect 8% (or even 10% returns) per year